

Comment Guide

Take Action! Oppose Harmful Proposed Changes to Federal Grantmaking, Impacting Nonprofits and Communities

June 2026

Overview

On May 29, 2026, the Office of Management and Budget (OMB) [proposed sweeping changes](#) to overhaul the set of rules, known as the Uniform Guidance, governing federal grants, cooperative agreements, and other monetary awards to nonprofits, state and local governments, and other grantees. For more information, read NCN's [chart of key provisions](#) in the OMB Uniform Guidance or the [full proposal](#) in its entirety.

If implemented, the proposal would create significant financial risk and instability for federal grantees, including nonprofits, making it more difficult to provide vital services to communities. The proposal attempts to grant unprecedented discretion to any administration to withhold, suspend, or terminate grants, or change terms and conditions mid-performance, forcing grantees to operate in a shifting environment. The proposal would allow an administration to determine federal awards based on partisan ideology, rather than objective criteria, community needs, and congressional intent, while decreasing public transparency throughout the process. If implemented, grantees will be faced with unpredictable financial, legal, and reputational risks that increase the costs of accepting federal awards while decreasing the benefits. Many effective and qualified grantees may be unable to accept those risks. This could lead to disruptions to essential services, including housing, community development, health, education, food, shelter, community services, disaster recovery, and more in communities and states nationwide.

The proposal also threatens important congressionally funded federal programs that help address longstanding racial, social, or other disparities or serve underserved communities. The proposal purports to bar any federal funding from being used to promote “unlawful” diversity, equity, and inclusion (DEI) efforts. However, many DEI-related practices and policies that the administration claims are unlawful have been upheld by courts as permissible under the law or can be administered lawfully.

The National Council of Nonprofits encourages nonprofits to submit public comments to register their opposition to the proposed harmful changes before July 13. Organizations can take further action by [signing a national letter](#) led by NCN and [contacting your members of Congress](#).

Attached in this comment guide is 1) a summary of proposed changes, 2) points to raise in opposing the changes, 3) templates for nonprofits to submit comments that you can personalize.

Note: It is important to personalize the comments so that they each are individually considered and require a response from the agency. Comments that are too similar to other comments can be dismissed more easily by the agency.

DEADLINE TO SUBMIT: July 13, 2026

Summary of Proposed Changes

If implemented, the proposed changes to the OMB Uniform Guidance would significantly shift how federal grantmaking occurs and block federal efforts to address racial, social, and other disparities in communities nationwide.

For more information, read NCN's [chart of key provisions](#) in the OMB Uniform Guidance or the [full proposal](#) in its entirety.

Points to Raise in Opposing the Proposed Changes

- **The proposed changes would grant the executive branch seemingly unlimited discretion over federal grants, contrary to federal law.** Federal law makes clear that the executive branch does not have the authority to add across-the-board terms and conditions to federal grants beyond those that Congress has authorized. With this proposal, the administration is attempting to use the OMB Uniform Guidance to impose terms and conditions that have been blocked by federal judges for violating federal law or the U.S. Constitution.
- **The proposal would force grantees to operate in a shifting environment, making it more difficult to provide vital services to their communities.** Under the proposal, each new administration could make significant, substantive changes to federal grants, creating uncertainty for grantees. Federal agencies would be authorized to terminate or suspend discretionary grants without cause, and to change grant terms and conditions mid-performance. Agencies could terminate grants if subrecipients “damage the reputation” of the federal government, a term that is not defined. Onerous oversight and monitoring requirements could be applied across entire programs, regardless of the grantee’s individual performance.

Moreover, under the proposal, grantees would have limited ability to challenge certain funding disruptions. When a grant is terminated under the agency’s discretion, the agency would not have to provide grantees with any administrative hearing or appeals process. Federal agencies could withhold federal discretionary grants indefinitely, if the agency determines that the grant does not “advance the president's policy priorities.”

- **The proposal allows federal agencies to determine discretionary federal awards based on partisan ideology, not community needs or congressional intent.** OMB proposes to create a pre-approval process that allows political appointees to exclude grant proposals from consideration if the proposal is not consistent with “federal agency priorities and the national interest.” Grantees would not know whether and why their proposal was rejected through this process, and they would be unable to challenge such actions. Moreover, the proposal directs agencies to consider a grantee’s membership or affiliation with other organizations that “undermine public safety or national security” and grantees’ engagement in “activities or

initiatives that are inconsistent with federal civil rights laws.” These provisions could exclude grantees that work to advance racial equity or grantees that oppose an administration’s policies. Taken together, these provisions would essentially allow any administration to disqualify a grantee it disfavors.

- **The proposal threatens important congressionally funded federal programs that help address longstanding racial, social, or other disparities or serve underserved communities.** The proposal purports to bar any federal funding from being used to promote “unlawful” diversity, equity, and inclusion (DEI) efforts or illegal immigration. However, many DEI-related practices and policies that the administration claims are unlawful have been upheld by courts as permissible under the law or can be administered lawfully. Grantees lawfully provide immigration legal services, humanitarian assistance to asylum seekers, or emergency shelter to migrants. Those most impacted are people of color and their communities, which have experienced historic and ongoing federal disinvestment.
- **The proposed changes force nonprofits to choose between applying for critical federal resources and their deeply held values and beliefs.** Many nonprofits hold core values around advancing DEI, welcoming immigrants, supporting LGBTQ people, or opposing the Administration’s priorities or ideology. The proposed changes target nonprofits with these viewpoints, forcing them to decide between core values and focused work, and their ability to serve communities through federal programs.
- **The proposal deters participation in federal programs, harming the communities federal programs were intended to serve.** If implemented, grantees will be faced with unpredictable financial, legal, and reputational risks that increase the costs of accepting federal awards while decreasing the benefits. Many effective and qualified grantees may be unable to accept those risks. This could lead to disruptions to essential services, including housing, community development, health, education, food, shelter, community services, disaster recovery, and more in communities and states nationwide. By undermining the administration of federal programs, the proposal would harm every community that relies on federal grantees to deliver essential services.

How to Submit a Comment

Here are a few tips for filing comments with any government agency or oversight body:

- Take the deadline for filing comments seriously. **Comments are due by July 13, 2026.**
- Typically, there is no required format for your comments. Your comments can be a sentence, or a paragraph, or a long statement. Your comments can be anything from one sentence to a complete economic analysis; they may be long, short, or anything in between, and can express support, or dismay...suggest revisions, different approaches, or request that the proposed changes be abandoned completely. But providing constructive critiques that connect what is proposed to your actual experience will strengthen the comments, as will identifying what you agree with (and why) and what you suggest could be different (and why).
- One of the most useful things you can provide is a concrete description of how the proposal would affect you, your work, and the communities you serve.
 - If you anticipate that the proposal will interfere with one or more projects that you are working on, you could describe how the proposal would make such projects more expensive, less effective, or even potentially impracticable. You could then explain how the specific communities you serve would be harmed if your work is more expensive, less effective, or impracticable.
 - If you have made investments or other plans in reliance on the availability of grants, you could describe what actions you have taken (including hiring additional staff, acquiring physical assets and real property, and developing institutional capacity) and how the proposal will affect those investments.
- If you use an online form, your comments may be limited to simple text. Do not assume that hyperlinks will work or that footnotes will be visible.
- Maintain a respectful tone even if the comments express strenuous disagreement with proposed regulations.
- Assume that whatever you file as comments will be made publicly available. Do not include any personally identifiable information that you would not want to be made public.
- Finally, remember that your voice DOES matter. In fact, your comments may be the only ones offering the uniquely informed perspective that everyone else will benefit from in years to come. So, take a big breath – and press SEND!

How to submit your comments:

- Submit your comments using the “Comment” button at <https://www.regulations.gov/document/OMB-2026-0034-0001>. Or, you can submit a comment via regulations.gov by searching for the OMB docket number OMB-2026-0034.
- Make sure your comment references “OMB-2026-0034, Office of Management and Budget (OMB) Regulation for Federal Financial Assistance.”
- The government will not accept comments submitted by fax or by email or comments submitted after the comment period closes.
- For assistance, contact Andrew Reisig or Joel Savary at the OMB Office of Federal Financial Management via email at MBX.OMB.Grants@OMB.eop.gov.
- If you require an accommodation or cannot otherwise submit your comments via www.regulations.gov, contact regulationshelpdesk@gsa.gov or by phone at 1-866-498-2945.

Template Comment Letter

DEADLINE TO SUBMIT: July 13, 2026

This template should be *personalized and include specific information* about your organization, the communities it serves, and the impact of the proposed changes.

[Your Full Name]

[Organization/Affiliation]

[City, State]

[Email]

Re: OMB-2026-0034, Office of Management and Budget (OMB) Regulation for Federal Financial Assistance.

To Whom It May Concern,

Thank you for the opportunity to provide comments on the proposal to revise several parts of the OMB Guidance for Federal Financial Assistance located in title 2 of the Code of Federal Regulations (CFR), subtitle A (OMB-2026-0034, Office of Management and Budget (OMB) Regulation for Federal Financial Assistance).

Introduce yourself and your organization.

My name is [Your Name], and I am [Title/Organization]. [ADD A SENTENCE ABOUT HOW YOUR ORGANIZATION SERVES YOUR COMMUNITIES, INCLUDING BY USING FEDERAL GRANTS].

Explain how your organization and the communities you serve would be harmed by the proposed changes.

The proposed changes to the OMB Guidance for Federal Financial Assistance would harm my organization and my community by [ADD WHETHER YOUR ORGANIZATION HAS APPLIED FOR OR RECEIVED A FEDERAL GRANT, AND THE IMPACT THE PROPOSED CHANGES WILL HAVE ON YOUR ORGANIZATION].

Point to a specific issue from the previous pages, explain how it affects you, why you oppose it, and what changes should be made.

My organization strongly opposes the proposed changes and the impact they will have on our organization and the community we serve. [EXPLAIN THE IMPACT THE SPECIFIC PROVISIONS WOULD HAVE ON YOUR WORK, INCLUDING THE COMMUNITIES YOU SERVE].

Close

Thank you for considering this input.

Sincerely,

[Your Name]